

Table 2 Fubon Securities Co., Ltd. and its subsidiary CONSOLIDATED BALANCE SHEETS December 31, 2016 & 2017										Unit: New Taiwanese dollar in thousands			
Assets	CURRENT ASSETS	2017.12.31		2016.12.31		2017.12.31		2016.12.31		Liabilities and equities		2017.12.31	
		Amount	%	Amount	%	Amount	%	Amount	%	Current liabilities:		Amount	%
111100	Cash and cash equivalents	\$13,507,132	12	11,683,796	11	211100	Short-term borrowings	(Note 6 -18 and -34)	2	2,355,749	2	2,500,000	3
111200	financial assets measured at fair value through profit or loss-current	40,296,765	32	33,185,736	33	212000	Payable commercial paper	(Note 6 -19 and (34))	3	3,798,891	3	—	—
112000						212000	financial liabilities measured at fair value through profit or loss-current	(Note 6 (20) , (Twenty-two) , -33 and -34)	3	4,293,643	3	3,848,441	4
113400	Preparation for-sale financial assets a flow	7,349,921	6	9,927,433	10	214010	Bond with buyback agreement liabilities	(Note 6 (21) , -34 and 7)	20	25,208,809	20	21,231,598	21
114010	with puttable bonds investment	—	—	645,311	1	214040	Margin guarantee	(Note 6 (5) and -34)	2	2,413,138	2	2,125,096	2
114030	securities financing receivable	14,419,909	12	11,142,121	11	214050	Payable securities lending guarantee amount	(Note 6 (5) and -34)	2	2,641,323	2	2,342,335	2
114040	Transfer guarantee	3,043	—	16,071	—	214070	Securities borrowing and lending margin - deposit-in	(Note 6 -34)	6	7,196,801	6	5,565,473	6
114050	transfer financing guarantee receivable	3,018	—	13,463	—	214080	Futures trader equity	(Note 6 -34 and 7)	17	20,504,270	17	15,702,135	16
114060	Receivable securities lending amount	694,614	1	91,131	—	214130	Payable bills and accounts	(Note 6 -23 and -34)	15	18,145,483	15	11,546,865	11
114070	Customer margin account	20,504,270	16	15,702,134	16	214140	Payable bills and accounts - related parties	(Note 6 -23 , -34 and 7)	—	28,116	—	14,290	—
114090	Securities borrowing and lending guarantee amount	46,188	—	35,540	—	214170	other payable	(Note 6 -24)	1	1,519,811	1	1,206,700	1
114100	Security lending margin—refundable	41,654	—	32,103	—	214180	Other payables - related party	(Note 6 -24 and 7)	—	68,306	—	32,801	—
114130	Receivable bills and accounts	18,688,863	15	10,290,736	10	214600	The current income tax assets	(Note 7)	—	330,055	—	498,475	—
114140	Accounts Receivable—related party	106,754	—	75,890	—	219000	Other non-current liabilities	(Note 6 -26 and -34)	1	1,660,668	1	979,341	1
114150	Prepayments	179,001	—	47,183	—		Total current liabilities		72	90,165,063	72	67,593,550	67
114170	Other receivables	20,233	—	14,355	—		Non-current liabilities:						
114180	Other receivables - related party	138,963	—	100,551	—	225100	Provision for liabilities—Non-current	(Note 6 -26)	1	1,046,101	1	993,274	1
114600	Current income tax assets	835	—	47,744	—	228000	Deferred income tax liabilities	(Note 6 -28)	—	79,871	—	101,801	—
119000	Other current assets	1,640,359	1	1,017,191	1	229000	Other non-current liabilities		—	10,715	—	13,622	—
	Total Current Assets	117,641,522	95	94,068,489	93		Total non-current liabilities		—	1,136,687	—	1,108,697	1
	Non-current assets:						Total liabilities		73	91,301,750	73	68,702,247	68
123100	Financial assets measured at cost – non-current	580,525	—	595,353	—		Equities belonging to shareholders of parent company: (Note 6 9) and -30) :						
123400	Financial assets available for sale - non current	842,345	1	756,112	1	301000	Equity		13	16,643,550	13	16,643,550	17
124100	Investments under equity method	1,190,076	1	831,204	1	302000	Capital reserve		—	—	—	7,335	—
125000	PROPERTY AND EQUIPMENT	1,787,606	1	1,688,175	2		Retained earnings:						
126000	Investment property	1,036,331	1	1,072,629	1	304010	Statutory surplus reserve		4	4,408,753	4	4,266,880	4
127000	Intangible assets	125,734	—	141,481	—	304020	Special surplus reserve		8	9,392,934	8	9,091,670	9
128000	Deferred income tax assets	224,909	—	185,889	—	304040	Undistributed earnings		2	2,746,148	2	1,418,724	1
129000	Other non-current assets	1,781,083	1	1,938,371	2		Other equity		14	16,547,835	14	14,777,274	14
	Total Non-current Assets	7,568,609	5	7,209,214	7	305000	Total equities attributable to shareholders of the parent company		27	33,755,125	27	32,575,456	32
						306000	Non-controlled equity		—	153,256	—	—	—
							Total equity		27	33,908,381	27	32,575,456	32
	Assets total	\$125,210,131	100	101,277,703	100		Total liabilities and equity		100	\$125,210,131	100	101,277,703	100

(please read the attached notes to the consolidated financial report for details)

Chairman: Shi Gang Manager: Cheng Mingqian Accounting Supervisor: Li Zhihong

Table 3					
Fubon Securities Co., Ltd. and its subsidiaries					
Consolidated Comprehensive Income Statement					
From January 1 to December 31, 2016 & 2017					
			Unit: New Taiwanese dollar in thousands		
			2017	2016	
			Amount	%	Amount %
Earnings:					
401000	Brokerage handling fee income	(Note 6 -32)	\$4,110,080	46	2,945,758 44
403000	Securities Lending income		547,376	6	214,463 3
404000	underwriting business income	(Note 6 -32)	251,643	3	214,490 3
406000	Wealth Management net income		7,045	—	8,934 —
410000	Operating securities sales net profit	(Note 6 -32)	1,627,966	18	89,927 1
421100	Stock Transfer Agency income		83,096	1	75,720 1
421200	Interest income	(Note 6 -10 and -32)	1,187,471	13	1,029,248 15
421300	dividend income		659,953	7	765,327 11
421500	Net gain from managed securities measured at fair value through profit or loss	(Note 6 -32)	89,942	1	214,930 3
421600	Vouchers and with putable bonds financing net profit		14,628	—	70,209 1
421610	net loss on securities lending and bond under resell agreement measured at fair value through profit or loss		(5,748)	—	(12,914) —
422200	Warrants issue (sell) Net profits from warrants	(Note 6 (32))	20,841	—	248,304 4
424300	Entrusted settlement service fee income		18,522	—	36,945 1
424400	Net loss on derivatives - Futures	(Note 6 -22)	(385,786)	(4)	(149,675) (2)
424500	Derivatives net benefit (Loss) Counter	(Note 6 (Twenty-two))	(237,669)	(3)	48,250 1
428000	Other operating income	(Note 6 -32 and (37))	962,094	11	1,052,929 14
	Total earnings		8,951,454	99	6,852,845 100
Costs and expenses:					
501000	Brokerage handling fee expense		315,254	4	218,049 3
502000	Proprietary handling fee expense		14,355	—	11,581 —
503000	Refinancing transaction fees paid		1,467	—	2,601 —
504000	Undertaking handling fee expenditure		4,511	—	5,104 —
521200	Finance costs	(Note 6 -32)	200,275	2	127,835 2
521640	Borrowed stock trading losses		4,503	—	7,679 —
524100	Futures commission expenditures		122,761	1	115,469 2
524300	Settlement delivery service fee		73,202	1	80,519 1
528000	Other operating expenses		21,231	—	15,678 —
531000	Employee benefits expenses	(Note 6 -27 、 -31 、 -32 And 12	3,325,399	37	3,096,041 46
532000	Depreciation and amortization expense	(Note 6 -32 And 12	229,286	3	229,725 3
533000	Other operating expense	(Note 6 -13 and (32))	2,407,429	27	2,049,552 30
	Total expense and fees		6,719,673	75	5,959,833 87
	Net operating profits		2,231,781	24	893,012 13
Non-operating income and expenses:					
601000	Associated companies and joint ventures using the share of profit or loss recognized using the equity method	(Note 6 -11)	(79,634)	(1)	17,183 —
602000	Other benefits and losses	(Note 6 -13 and -32)	864,789	10	683,370 12
	Total non-operating income and expenses		785,155	9	700,553 12
	Net profit before tax from continuing operating departments		3,016,936	33	1,593,565 25
701000	Add: Income tax expense	(Note 6 -28)	(210,527)	(2)	(89,575) (1)
	Current net profit		2,806,409	31	1,503,990 24
805000	Other comprehensive income:				
805500	Items not reclassified to profit or loss				
805510	Number of defined-benefit plans and their measure	(Note 6 -27)	(67,289)	(1)	(102,663) (2)
805520	Revaluation surplus		1,584	—	— —
805550	Share of other comprehensive income of associates and joint ventures recognized under equity method - not reclassified to profit or loss		(15)	—	(56) —
805599	Income tax related to not reclassified items (Note 6 -28)		11,412	—	17,453 —
	The total of not classified profit and loss account items		(54,308)	(1)	(85,266) (2)
805600	Item that later might be reclassified to gain and loss				
805610	Exchange difference from translation of financial statements of foreign operations	(Note 6 -29)	(54,066)	(1)	(12,124) —
805620	Net unrealized profit on available-for-sale financial assets (loss)	(Note 6 -29)	(501,844)	(5)	484,172 7
805650	Share of comprehensive gains and losses of associated companies and joint ventures that use equity method	(Note 6 -29)	(38,426)	—	(81,363) (1)
805699	Income tax related to items which can be reclassified	(Note 6 -28 and -29)	9,195	—	7,593 —
	Total of follow-up items may be reclassified to profit or loss		(585,141)	(6)	398,278 6
805000	current period other comprehensive benefits	(Net after-tax)	(639,449)	(7)	313,012 4
	Total comprehensive gains or losses for the period		\$2,166,960	24	1,817,002 28
Current net interest belonging to:					
	Owners of the parent company		\$2,817,035	31	1,503,990 24
913200	Non-controlled equity		(10,626)	—	— —
	total comprehensive gains and losses attributable to:		\$2,806,409	31	1,503,990 24
	Owners of the parent company		\$2,177,586	24	1,817,002 28
	Non-controlled equity		(10,626)	—	— —
			\$2,166,960	24	1,817,002 28
	basic earnings per share (Unit: NT\$)	(Note 6 -30)	\$1.69		0.90
	Diluted earning per share (Unit: NT\$)	(Note 6 -30)	\$1.69		0.90

(please read the attached notes to the consolidated financial report for details)

Chairman: Shi Gang Manager: Cheng Mingqian Accounting Supervisor: Li Zhihong

Table 4

Fubon Securities Co., Ltd. and its subsidiary

Consolidated statement of changes in equity

From January 1 to December 31, 2016 & 2017

Unit: New Taiwanese dollar in thousands													
Attributable to parent company owners													
	Equity		retained earning		Other equity items				Total equity attributable to owners of parent company	Non-controlled equity	Total equity		
	Ordinary share capital	Capital reserves	Capital reserve	Special Surplus	Undistributed earnings	Total	statement of foreign operations	unrealized profit or loss from financial assets				Revaluation surplus	

(please read the attached notes to the consolidated financial report for details)

Chairman: Shi Gang Manager: Cheng Mingqian Accounting Supervisor: Li Zhihong

Table 5

Fubon Securities Co., Ltd. and its subsidiaries

Consolidated cash flow statement

From January 1 to December 31, 2016 & 2017

		Unit: New Taiwanese dollar in thousands	
		2017	2016
Cash flow of operating activities:			
Net gains for the period before tax		\$3,016,936	1,593,565
Adjustments items :			
Income loss item			
Depreciation expenses		152,253	152,085
Amortization expenses		77,033	77,640
bad debt expense listed (Reversal) number		8,314	(1,485)
Net financial assets and liabilities at fair value through profit or loss		(89,221)	(203,865)
Interest expense		200,275	127,835
Interest income (Including financial income)		(1,480,050)	(1,183,926)
dividend income		(709,543)	(815,015)
Using losses of affiliated enterprises and joint ventures recognized under the equity method (Gains) Share of amount		79,635	(17,183)
Waste disposal and real property and equipment Loss		2,246	1,419
Loss on disposal of investments (Interests)		(904,533)	195,413
non-operating financial products at fair value interest		(1,279)	(1,614)
Financial asset impairment losses		2,377	—
Gain on reversal of impairment on financial assets		—	(1,831)
Impairment loss recognized on non-financial assets		12,251	—
Investment real estate fair value adjustment loss (Interests)		(39,708)	2,381
Total profit or loss		(2,689,950)	(1,668,146)
operating activities-related assets / Change in liabilities:			
Net change in assets related to operating activities:			
Increase in financial assets at fair value through profit or loss		(7,011,352)	(6,530,377)
Decrease in investment in bonds under resale agreements (Increase)		645,311	(645,311)
Reduction in receivables from security financing (Increase)		(3,277,788)	807,662
Refinancing margin reduction		13,028	12,862
Reduction in accounts refinancing guarantee amounts		10,445	14,398
Increase in accounts securities lending funds		(603,483)	(87,662)
Increase in customer margin accounts		(4,802,135)	(2,362,941)
Reduction in SBL guarantee funds (increase)		(10,648)	54,723
margin on SBL – reduction in deposits (Increase)		(9,551)	65,161
decrease in bills receivable (Increase)		(103)	374
Increase in accounts receivable		(8,352,056)	(3,582,756)
decrease in accounts receivable – related parties (Increase)		(30,864)	13,066
Increase in Prepayments		(131,818)	(9,278)
Decrease in other receivables (Increase)		(1,008)	13,727
Other receivables – increase with related parties		(36,250)	(28,375)
Other current assets decreased (Increase)		(600,669)	1,907,557
Reduction in collections (Increase)		(8,253)	1,690
Total net change in assets related to the operating activities of		(24,207,194)	(10,355,480)
Net change in liabilities related to operating activities:			
Attached callable bonds—liabilities increase		3,977,211	4,816,328
Increase in financial liabilities measured at fair value through profit or loss		(decrease)	437,613
Margin trading increases (decrease)		288,042	(604,218)
Increase of securities loan guaranteed price (decrease)		298,988	(498,588)
SBL Margin - deposit increase		1,631,328	3,565,613
Increase of futures traders' equity		4,802,135	2,362,941
Increase in notes payable		59	—
Accounts payable increased		6,598,647	6,108,768
Payable accounts – increase in related persons (Reduction)		13,826	(2,098)
Increase of other payables		303,076	152,231
Increase in Other payables – related parties (decrease)		35,423	(2,232)
Decrease in provision for liabilities		(14,477)	(127,268)
Increase of other current liabilities (Reduction)		681,327	(1,884,991)
Decrease in guarantee deposits received		(2,130)	(15)
Total net changes in liabilities related to operating activities		19,051,068	13,683,099
Total net change in operating assets and liabilities		(5,156,126)	3,327,619
Total adjustments		(7,846,076)	1,659,473
Cash inflow generated from operations (Outflow)		(4,829,140)	3,253,038
Interests received		1,414,733	1,163,124
Dividend collected		709,510	815,015
Interests paid		(194,575)	(127,001)
Income tax paid		(392,988)	(487,320)
Net cash inflow from operating activities (Outflow)		(3,292,460)	4,616,856

* H i s t o r y o f s t e e l

Accounting for Spring*

(please read the attached merging

Manager: Cheng Minggan

Accounting Supervisor: Li Zhihong

Table 6		
Fubon Securities Co., Ltd. and its subsidiary		
Consolidated cash flow statement (Continued)		
From January 1 to December 31, 2016 & 2017		
	Unit: New Taiwanese dollar in thousands	
	2017	2016
Cash flow from investing activities:		
Preparation for-sale of financial assets	\$ (8,290,888)	(5,569,141)
Disposal of financial assets available-for-sale	11,320,478	3,538,750
Purchase of financial assets carried at cost	(143,462)	(141,698)
Financial assets measured at cost minus returned shares	9,463	—
Acquisition of investment using the equity method	(519,970)	(329,004)
Acquisition of property and equipment	(188,798)	(94,829)
Operating margin reduction	60,000	35,000
Reduction in clearing and settlement fund	9,715	46,561
Increase in guarantee deposits paid (Reduction)	16,928	(31,881)
Acquisition of intangible assets	(57,023)	(68,260)
Reduce other non-current assets (Increase)	(3,960)	22,135
Decrease in prepayment for equipment (Increase)	47,662	(47,249)
Dividend collected	15,338	17,441
Net cash inflow from investing activities (Outflow)	2,275,483	(2,622,175)
Cash flow from financing activities:		
Increase in short-term borrowings (decrease)	(144,251)	2,500,000
Increase in commercial paper payable	3,798,891	—
Reduction in other non-current liabilities	(777)	(976)
Cash dividends	(975,587)	(817,423)
Changes in non-controlling equity	163,882	—
Net cash inflow from financing activities	2,842,158	1,681,601
Impact of change in exchange rates on cash and cash equivalents	(1,845)	(16,307)
Increase in cash and cash equivalents in current period	1,823,336	3,659,975
Cash and cash equivalents balance at the beginning of the period	11,683,796	8,023,821
Cash and cash equivalents balance at the end of the period	\$13,507,132	11,683,796

(please read the attached notes to the consolidated financial report for details)

Chairman: Shi Gang Manager: Cheng Mingqian Accounting Supervisor: Li Zhihong